

Thirteenth Edition

BUSINESS ETHICS

Ethical Decision Making and Cases

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Chapter 3

Sustainability: Social and Ethical Dimensions

Learning Objectives

By the end of this chapter, you should be able to:

- Relate sustainability to ethical decision making and social responsibility
- Examine global environmental issues related to the atmosphere, water, and land
- Review environmental legislation related to sustainability
- Compare renewable energy sources that provide alternatives for sustainability
- Evaluate business responses to sustainability related to green marketing and greenwashing
- Provide strategic directions for implementation of sustainability

Icebreaker

- Are social responsibility and sustainability the same thing?
- When you think of sustainability, what companies come to mind?

3-1

Defining Sustainability

Defining Sustainability 1 of 1

- **Sustainability** – The potential for the long-term well-being of the natural environment, including all biological entities, as well as mutually beneficial interactions among nature and individuals, organizations, and business strategies
- **Sustainable development** – Meeting the needs of the present without compromising the ability of future generations to meet their own needs, with an emphasis on the natural environment

3-2

How Sustainability Relates to Ethical Decision Making and Social Responsibility

How Sustainability Relates to Ethical Decision Making and Social Responsibility 1 of 2

- Sustainability falls into the social responsibility domain of maximizing positive and minimizing negative impacts on stakeholders.
- Sustainability relates to ethical decision making.
 - Ethical awareness is the ability to perceive an issue or dilemma involving principles, values, and appropriate behavior.
 - Business decisions about sustainability will be assessed as right or wrong by stakeholders.
- A company with a sustainability agenda or a corporate social responsibility (CSR) report can create long-term favorable stakeholder responses.
- Sustainability, social responsibility, and ethics should not be used interchangeably.

How Sustainability Relates to Ethical Decision Making and Social Responsibility 2 of 2

- Socially responsible activities can create competitive advantages.
- Both positive and negative information about products and organizations is more available.
- Organizations can use their products and brand identity to create social value, quality, and consumer loyalty.
- Companies use their sustainable and socially responsible decisions to differentiate their firms and promote their products.

FIGURE 3-1 Ethical Decisions Affect Sustainability as a Component of Social Responsibility



3-3

Global Environmental Issues

Global Environmental Issues 1 of 3

Atmospherics

- Air pollution typically arises from three different sources:
 - Stationary sources such as factories and power plants
 - Mobile sources such as cars, trucks, planes, and trains
 - Natural sources such as windblown dust and volcanic eruptions
- Acid rain: Nitrous oxides and sulfur dioxides exposed to air and rain
- **Climate change** – The long-term variation in average weather patterns
 - **Kyoto Protocol** – An international treaty meant to curb global greenhouse gas emissions by having countries voluntarily reduce national outputs
 - Doha Amendment was an extension that focused on ensuring implementation agreements.
 - Coal is an area of contention; some countries use cap-and-trade.

Debate Issue: Take a Stand

- The Clean Air Act was used to push regulations placing limits on air pollution.
 - It extends the power of the Environmental Protection Agency to regulate sources of greenhouse gases.
 - One major goal is a 30 percent reduction in emissions from coal-powered plants by 2030.
- Stricter regulations could reduce carbon emissions.
- Many utilities see the regulations as too burdensome and believe they will result in lost jobs.
- Take a stand:
 1. Carbon emissions regulations will benefit both the nation and the environment in the long run.
 2. Carbon emissions regulations will be detrimental to the nation because it will cause many to lose their jobs.

Global Environmental Issues 2 of 3

Water

- Water pollution is one of the biggest contributors to illnesses in developing countries.
 - Environmental groups are critical of U.S. water policy.
- For some corporations, the sustainability of water has become a major consideration.
- Some parts of the globe are increasingly worried about water quantity.

Global Environmental Issues 3 of 3

Land

- Land pollution – dumping of residential and industrial wastes, strip mining, poor forest conservation
- Waste management – dumping of waste into landfills
 - Electronic waste (e-waste) has become a big problem
- Deforestation – forests (covering >30% of the planet) are being destroyed
- Urban sprawl – large-scale suburban developments
- Biodiversity – increasing pressure on wildlife, plants, and their habitats
- **Genetically modified (GM) organisms** – Created through manipulating plant and animal DNA to produce a desired effect such as resistance to pests and viruses, drought resistance, or high crop yield

3-4

Environmental Legislation

Environmental Legislation 1 of 2

Environmental Protection Agency (EPA)

- The agency's mission is to “protect human health and the environment” by working to ensure that:
 - Americans have clean air, land, and water.
 - Efforts to reduce environmental risks are based on reliable scientific information.
 - Federal laws related to protecting human health and the environment are administered and enforced fairly, effectively, and as intended.
 - Factors such as natural resources, human health, and economic growth are considered in establishing environmental policy.
 - All members of society, from individuals to businesses, have access to accurate information.
 - Contaminated lands and toxic sites are cleaned up.
 - Chemicals in the marketplace are reviewed for safety.

Environmental Legislation 2 of 2

Environmental Regulations

- Clean Air Act – regulates atmospheric emissions
- Endangered Species Act – protects endangered species and their habitats
- Toxic Substances Control Act – tracks industrial chemicals
- Clean Water Act
- Pollution Prevention Act
 - **Leadership in Energy & Environmental Design (LEED)** – A certification program that recognizes sustainable building practices and strategies
- Food Quality Protection Act
- Energy Policy Act – lessens U.S. dependence on foreign oil

Knowledge Check

True or False: The Environmental Protection Agency (EPA) is most influential regulatory agency that deals with environmental issues.

3-5

Alternative Energy Sources

Alternative Energy Sources 1 of 6

Wind Power

- Wind power holds great promise for the United States.
- Its use has already taken off in many countries.
- Experts believe wind energy could meet 20% of the nation's energy needs.
- Restructuring the nation's power grids to efficiently transmit wind-generated power will take huge investments.
- Widespread adoption of wind power is slowed by the high cost of turbines as well as limitations on an outdated national power grid.

Alternative Energy Sources 2 of 6

Geothermal Power

- Geothermal energy comes from the natural heat inside the Earth, which is extracted by drilling into steam beds.

Advantages

- Provides a constant source of heat
- Dependable source of energy
- Emits fewer carbon emissions than coal-powered plants

Disadvantages

- Expensive
- Geothermal drilling sites are not readily available everywhere

Alternative Energy Sources 3 of 6

Solar Power

Advantages

- 100% renewable energy
- Can be converted into electricity through the use of either photovoltaic cells (solar cells) or solar power plants

Disadvantages

- Expensive
- Inefficient compared to traditional fossil fuel-generated energy
- Infrastructure for mass production of solar panels is not in place

Alternative Energy Sources 4 of 6

Nuclear Power

Advantages

- Pollution-free
- Cost-competitive

Disadvantages

- Danger associated with nuclear meltdowns and radioactive waste disposal
- Less competitive with other sources of electricity due to the engineering and time, as well as regulatory requirements
- Critics are concerned with the safety of nuclear power plants and the disposal of waste

Alternative Energy Sources 5 of 6

Biofuels

- Perhaps the most controversial form of alternative energy after nuclear power is ethanol.
- Critics argue manufacturing ethanol takes a lot of energy and is not much more sustainable than oil.
- Opponents believe it decreases the world's food supply and increases food prices.

Alternative Energy Sources 6 of 6

Hydropower

Advantages

- Largest form of renewable energy
- Decreases greenhouse gas emissions and air pollution

Disadvantages

- Destruction of wildlife and human habitats when valleys are flooded using dams
- Disrupts the life cycles of aquatic life

3-6

Business Response to Sustainability Issues

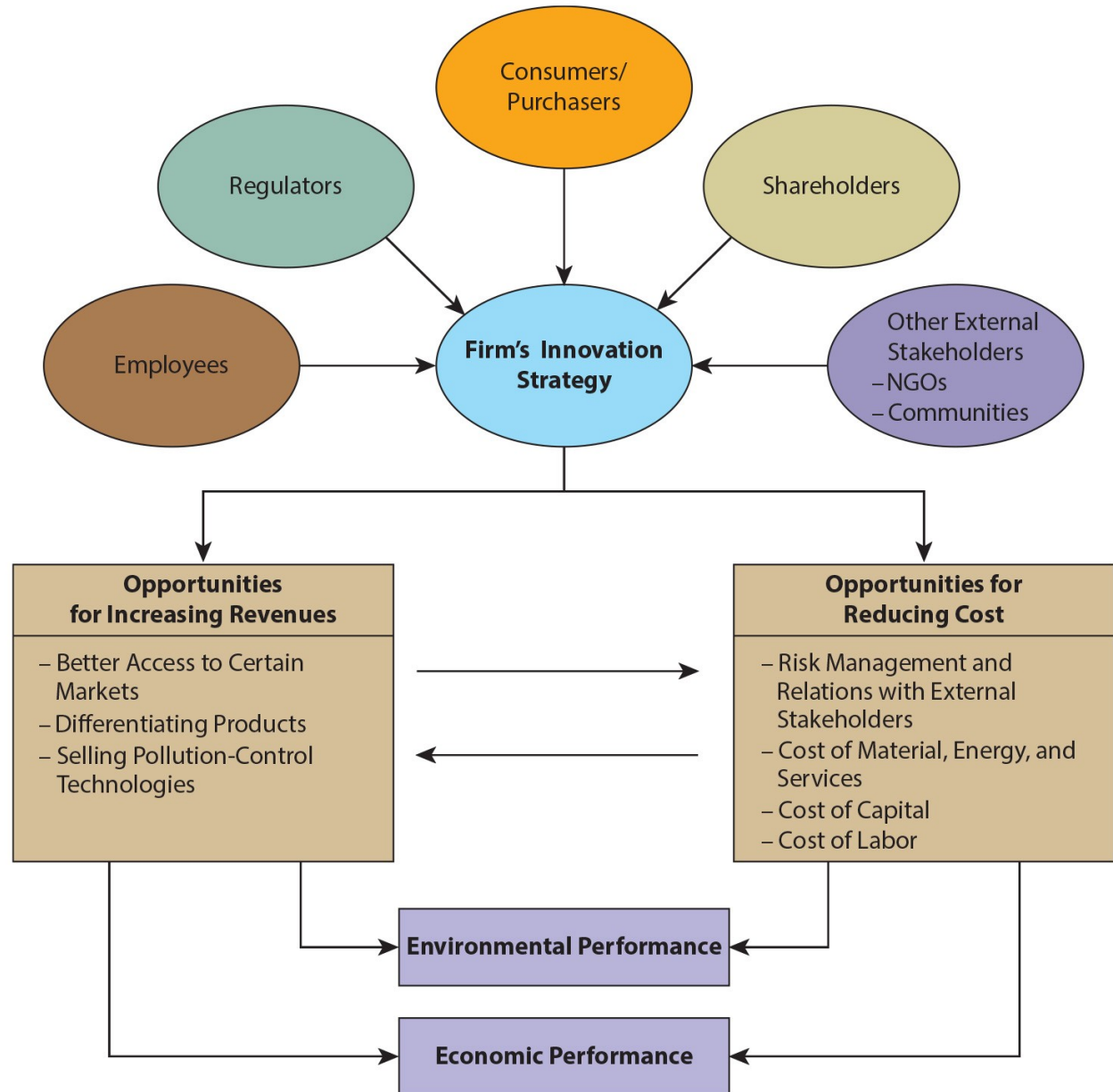
Business Response to Sustainability Issues 1 of 2

- Most businesses use environmental, social, and governance (ESG) factors to report air, land, and water sustainability issues.
- Better environmental performance can increase revenue in three ways:
 - Better access to certain markets
 - Differentiation of products
 - Sale of pollution-control technology

FIGURE 3-3

Positive Links Between Environmental and Economic Performance

Source: Stefan Ambec and Paul Lanoie, “Does It Pay to Be Green? A Systematic Overview,” *The Academy of Management Perspectives* 22, 4 (2008): 47.



Business Response to Sustainability Issues 2 of 2

Green Marketing

- **Green marketing** – A strategy involving stakeholder assessment to create meaningful long-term relationships with customers while maintaining, supporting, and enhancing the natural environment

Greenwashing

- **Greenwashing** – Misleading a consumer into thinking a good or service is more environmentally friendly than it really is

Discussion Activity

- Is it greenwashing when statements are accurate but misleading?

Discussion Activity Debrief

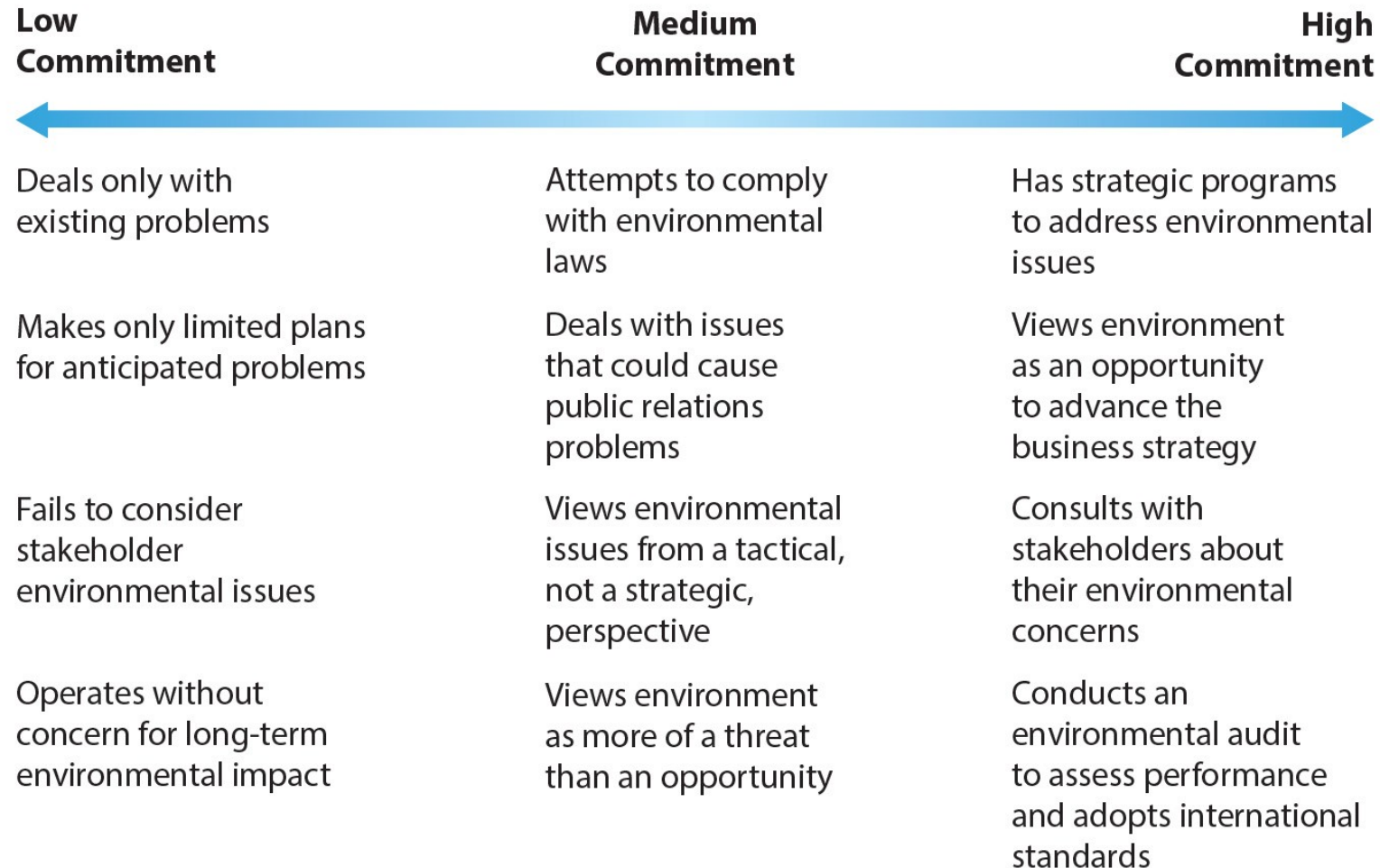
Is it greenwashing when statements are accurate but misleading?

- Greenwashing ranges from making environmental claims required by law and are therefore irrelevant (CFC-free) to puffery (exaggerating environmental claims) to fraud.
- Researchers have shown that claims on products are often too vague or misleading:
 - Products with the highest number of misleading or unverifiable claims were laundry detergents, household cleaners, and paints.

3-7

Strategic Implementation of Environmental Responsibility

FIGURE 3-4 Strategic Approaches to Environmental Issues



Strategic Implementation of Environmental Responsibility 1 of 4

Recycling Initiatives

- **Recycling** – The reprocessing of materials—especially steel, aluminum, paper, glass, rubber, and some plastics—for reuse
- Food waste can be used to create renewable energy.
- Companies and local and regional governments are finding ways to recycle water.

Strategic Implementation of Environmental Responsibility 2 of 4

Stakeholder Assessment

- Requires acknowledging and actively monitoring the environmental concerns of all legitimate stakeholders
- Must have a process in place for identifying and prioritizing the many claims and stakes on its business and for dealing with trade-offs related to the impact on different stakeholders
 - No company satisfies every claim.
 - Managers need to conduct research, assess risks, and communicate with stakeholders about their respective concerns.
- Not all stakeholders are equal.
- Includes a willingness to acknowledge and openly address potential conflicts.

Strategic Implementation of Environmental Responsibility 3 of 4

Risk Analysis

- Through industry and government research, an organization can usually identify environmental issues that relate to manufacturing, marketing, and consumption and use patterns associated with its products.
- It is possible to assess the environmental risks associated with business decisions.
 - The real difficulty is measuring the costs, benefits.
- Many environmental decisions involve trade-offs for various stakeholders' risks.

Strategic Implementation of Environmental Responsibility 4 of 4

The Strategic Environmental Audit

- Audit of efforts, report the results to all interested stakeholders
- Organizations may use globally accepted standards.
 - **ISO 14000** – A comprehensive set of environmental standards that encourage a cleaner, safer, and healthier world developed by the International Organization for Standardization
- Evaluation of a firm's environmental, social, and governance (ESG) programs is important.